The Way forward in GDP Measurement

Soumya Kanti Ghosh
Chief Economic Adviser
State Bank of India

State Bank of India

August 5, 2016

What is the Big deal about “GDP"?

- GVA is given as the sum of a) compensation of employees; b) consumption of fixed capital which is often captured from ‘depreciation’ in corporate profit and loss (P&L) account; c) operating surplus which may be approximated by profit after tax (PAT) adjusted for property income and current transfers to trade channels and d) Production taxes less subsidies
- GDP is driven by GVA. If P&L of all businesses is known, the GVA can be calculated ‘almost perfectly’ with the assumption that businesses are correctly reporting their profitability. However, this is utopian scenario

“GDP” Methodology

- Income Based Approach that CSO has recently adopted is an international best practise
- Value added is not a measure of output, but is actually a measure of income
- This is raising the scepticism because the methodology is assumed to give a measure of output
- But the methodology as such is not wrong
- However, are there data issues?

Problem with Corporate Data

- The new series increases the coverage of the corporate sector by using MCA21 data
- Though the coverage of the private sector has improved, the problem of instability in the data, i.e., the number of companies being covered varying, is not tackled
- However, bigger problem is the quality of the financial statements of companies. If there is under-reporting and over-reporting of corporate profits, GDP calculations get biased since GVA is heavily dependent on such variables
- Another problem is that MCA21 data base used for full year estimates is typically available with an 8-9 month lag

Problem with Survey Data

- Annual Survey of Industries (ASI) is also typically available with a two-year lag
- Also, around 50% of companies are missing from ASI?....
- Another survey used is Employment and Unemployment Surveys of National Sample Survey Organisation (NSSO), which reflects structural changes in the economy
- These survey results are reliable when the economy moves at an even pace of growth
- However, questions may be raised about using inputs from some dated surveys in periods of volatility

Finance sector contribution underestimated

- Elsewhere, there is another important point that we are missing out. As per the international System of National Accounts (SNA) 2008, revenue earned only from pure banking business (deposits and credit) and not from the other sources like investments etc., is taken for consideration in GDP. The argument is such activities do not lead to any asset creation. As a counter argument, India being the only country in the world where SLR requirement is mandated, treasury income of the banks is considered an important source of income, (more so now). In FY16, treasury income of banks were at highest levels
- In 2016-17 (till 08 July), the business of the banks has been lower due to sluggish economic environment, high base effect, lower oil prices, weaker corporate demand for bank loans etc. This may lower the banking business contribution to the GDP, even on a going forward basis
- On the other side, the inclusion of the stock brokers, stock exchanges, asset management companies, mutual funds and pension funds, as well as the regulatory bodies, SEBI, PFRDA and IRDA has increased coverage to capture growth in financial sector
- As of now it seems that the banking contribution will be more than outstripped by the later categories of business in the 'financing, insurance, real estate & business services' sector

Income from Investment: Selected Banks (Rs Crore)

	FY 15	FY 16	% YoY
PNB	10600	12034	13.5
BoI	9435	8952	-5.1
BoB	9431	10673	13.2
Canara	10650	11408	7.1
UBI	7183	7535	4.9
OBC	4316	4775	10.6
IOB	5470	6484	18.5
Allahabad	4392	3990	-9.2
Andhra	3456	3876	12.2
IDBI	6266	5941	-5.2
Indian Bank	3612	4153	15.0
Corporation Bank	4166	4209	1.0
Central Bank of India	6707	6474	-3.5
Syndicate Bank	4887	5285	8.1
UCO Bank	4953	5663	14.3
Vijaya Bank	3156	2955	-6.4
Dena Bank	2542	2608	2.6
Bank of Maharashtra	2540	2735	7.7
United Bank	2879	3039	5.5
SBI	35354	42304	19.7
ICICI Bank	10593	10625	0.3
HDFC Bank	9858	14120	43.2
Axis Bank	8448	9378	11.0
Kotak Mahindra	2134	3456	62.0
Yes Bank	3356	3508	4.5

Source: SBI Research

Real GDP Vs Nominal GDP

- The GDP deflator mirrors the wholesale price index more than consumer price index. The negative reading of WPI suggests a sharp disinflation in the industrial activity
- Negative WPI might be attributed to decline in commodity prices and low industrial activity which reflects low capacity utilisation and anaemic private investment activity
- If GDP deflator continues to remain in the negative territory, real GDP will be higher than the nominal GDP growth
- WPI is currently calculated with 2004-05 as base year, however when this is changed to 2011-12, it may numerically look somewhat lower than otherwise. To that extent, numerically, the real GDP may look higher

Way Forward

- Corporate performance and data from surveys are extrapolated to arrive at GDP estimates for the most recent period (advanced and provisional estimate). Transparency in articulating the various specific assumption and critical inputs specific to the period for which GDP is estimated is required to dispel the scepticism surrounding GDP
- Recruiting more people for data collection
- Better technology
- Better and stringent financial reporting norms for all business entities
- Back dated series need to be put up by CSO


Thank You